

CASE PRE-READ 1 OF 1 • CAPSULE 3

Governing OpenAI — a board with authority over the mission, and no power over the company

Governing OpenAI (A) — Lynn S. Paine, Suraj Srinivasan and Will Hurwitz, Harvard Business School case 324-103, published 5 March 2024, 29 pages. We discuss it live in Capsule 3. **You are not being sent the case.** This brief is your preparation, and it is written to be sufficient on its own — read it, form a view, and bring the view rather than a summary.

HOW TO PREPARE

Read this brief and answer the six focus questions for yourself before class. **There is no “how to think about these” section in a case brief and there will not be one** — the reasoning is the discussion, and a printed answer would spoil it. There is also **no account of what happened after November 2023 in these pages, and that is deliberate**: the case turns on a decision taken with the information available at the time, and knowing the outcome makes it almost impossible to reconstruct honestly. Resist the temptation to look it up. If you already know the ending, set it aside and argue from the position on the page.

» **this brief ~20 min • form a view on all six questions before class**

A note on the case document. The case is licensed courseware from Harvard Business Publishing and cannot be circulated, linked or reproduced — which is why this brief exists. Everything in it is drawn from the public record: OpenAI's own published statements and structure documents, contemporaneous reporting, and the Charter. Where an account is disputed, this brief says so rather than picking a side. **No part of this brief is examinable.** What is assessed is the quality of your reasoning in the room.

THE SITUATION

It is late on 21 November 2023. Over the previous five days, the board of OpenAI removed its chief executive, watched its president resign, appointed two interim chief executives in succession, saw its largest commercial partner offer to hire the entire company, and received a letter signed by the overwhelming majority of its own employees demanding that every director resign. Sam Altman is returning as chief executive. Five of the six directors are gone. **The board is now three people: Bret Taylor as chair, Larry Summers, and Adam D'Angelo — the sole survivor of the board that did the firing.** It is explicitly described as an “initial” board. It has to decide what OpenAI's governance should now be, how to rebuild itself, what to do about safety and ethics, and how to work with a chief executive one of its three members voted to remove. **That is where the case puts you.**

THE STRUCTURE — read this part carefully, because everything else depends on it

OpenAI was not an ordinary company and the crisis is unintelligible if you treat it as one. Four features matter.

- **A non-profit at the top, controlling a capped-profit company underneath.** OpenAI was founded in December 2015 as a non-profit, with backers including Sam Altman, Elon Musk, Reid Hoffman and Peter Thiel publicly committing US\$1 billion — of which only around US\$130 million had actually arrived by 2019, which is the financial pressure that produced what came next. In March 2019 OpenAI created a **capped-profit** entity beneath the non-profit. Returns for the first round of investors were **capped at 100 times their investment**; anything above the cap flows to the non-profit. The operating company's stated “primary fiduciary obligation is to advance the aims of the OpenAI Charter”, and it is controlled by the non-profit's board.
- **A charter that says the duty runs to humanity, not to shareholders.** The OpenAI Charter, adopted 9 April 2018, defines the mission as ensuring that artificial general intelligence “benefits all of humanity”, and states plainly: **“Our primary fiduciary duty is to humanity.”** It also contains what is known as the merge-and-assist clause: “if a value-aligned, safety-conscious project comes close to building AGI before we do, we commit to stop competing with and start assisting this project.” Read those two commitments and ask what kind of board would be needed to honour them.
- **Microsoft had money in and no formal control.** Microsoft invested US\$1 billion in 2019, again in 2021, and announced a further “multiyear, multibillion dollar investment” on 23 January 2023 — widely reported as around US\$10 billion, though Microsoft never stated a figure. In exchange it got supercomputing scale, the right to deploy OpenAI's models across its products, and status as exclusive cloud provider. **It got no board seat and no ownership of the non-profit.** And artificial general intelligence was expressly **carved out** of Microsoft's intellectual-property licence and commercial terms: when the OpenAI non-profit board determined that AGI had been attained, Microsoft's existing licences would end. **The board alone made that determination.** OpenAI's own structure page told investors it would be wise to view any investment “in the spirit of a donation, with the understanding that it may be difficult to know what role money will play in a post-AGI world.”
- **And the board had shrunk.** In March 2019 there were eight directors. By 17 November 2023 there were six: **Sam Altman, Greg Brockman and Ilya Sutskever** — all employees — and **Adam D'Angelo, Tasha McCauley and Helen Toner**, all independent. Three seats had emptied during 2023 alone: Reid Hoffman (announced March,

citing conflicts with his AI investments), Shimon Zilis (March), and Will Hurd (July, to run for president). **None was refilled.** Three insiders and three independents, on a board of six, where four votes decide.

WHAT HAPPENED — 17 to 21 November 2023

Friday 17 November. Around midday Pacific time, the board informs Altman he is removed. Microsoft is given roughly one minute's notice. At about 12:20 PT — 15:20 on the US east coast — OpenAI publishes a statement: Altman's departure follows "a deliberative review process by the board, which concluded that he was **not consistently candid in his communications with the board**, hindering its ability to exercise its responsibilities. The board no longer has confidence in his ability to continue leading OpenAI." Mira Murati, the chief technology officer, becomes interim chief executive. Brockman is removed as chair; that evening he resigns entirely, saying he learned of it from Sutskever. Three senior researchers resign with him.

Saturday 18 November. The chief operating officer tells staff internally that "**the board's decision was not made in response to malfeasance**", describing instead a breakdown in communication between Altman and the board. Pause on that sentence, because it is the hinge of the whole case: the board has removed a chief executive for candour and is now declining to say what he was not candid about, while its own executive tells the company nothing wrong was done. Investors — Thrive, Tiger Global, Sequoia — press for a reversal, and Microsoft joins them. **A tender offer led by Thrive Capital, valuing OpenAI at about US\$86 billion and letting employees sell shares, is in its final stages and reported to be hanging in the balance.** Roughly 770 people work at OpenAI.

Sunday 19 November. Altman returns to the offices to negotiate; a deadline passes without agreement. The board approaches Dario Amodei of Anthropic about becoming chief executive; he declines. That evening the board names **Emmett Shear**, co-founder of Twitch, interim chief executive, and states that Altman will not return.

Monday 20 November. In the early hours, Satya Nadella announces that Altman and Brockman, with colleagues, will join Microsoft to lead a new advanced AI research team. Within hours a letter from OpenAI employees becomes public. It demands that all current directors resign, that new independent directors be appointed, and that Altman and Brockman be reinstated — failing which the signatories will resign and join the new Microsoft team. It tells the board: "*Your conduct has made it clear you didn't have the competence to oversee OpenAI.*" It reports that the board had told the leadership team that allowing the company to be destroyed "**would be consistent with the mission.**" Signature counts reported through the day range from about 500 to over 700 of roughly 770 employees, as people signed in waves. **Mira Murati signed it — the interim chief executive the board had just installed. So did Ilya Sutskever**, who posted publicly: "*I deeply regret my participation in the board's actions. I never intended to harm OpenAI... I will do everything I can to reunite the company.*"

Late Tuesday 21 November. OpenAI announces an agreement in principle for Altman to return as chief executive, with a new **initial** board: Bret Taylor as chair, Larry Summers, and Adam D'Angelo. About a hundred and six hours, start to finish — five days.

WHAT NOBODY KNOWS — and this is the position you have to reason from

You will want to decide whether the board was right. **On the evidence available on 21 November 2023, you cannot**, and sitting honestly inside that is most of the exercise. Here is the whole of what is public at the moment the case puts you.

- **The board gave a reason and no instances.** A lack of candour, hindering the board's ability to exercise its responsibilities. No example, no subject matter, no timeframe. Directors are constrained in what they may say about personnel matters, and it is an open question — one worth arguing about — how much of the silence was legal constraint, how much was judgement, and how much was simply that no one had planned what to say.
- **Its own chief operating officer publicly contradicted the natural inference.** "The board's decision was not made in response to malfeasance." So: serious enough to remove a chief executive, not serious enough to be wrongdoing, and unspecified. Whatever else it did, that combination made the board's position almost impossible to defend in public.
- **The people closest to it disagreed with each other, in public, within seventy-two hours.** Brockman resigned on being told. Murati, installed by the board as interim chief executive, signed the letter demanding the board resign. Sutskever, who initiated the removal, signed it too and said publicly that he deeply regretted his participation. **Three of the six directors publicly repudiated the decision within three days of making or receiving it.**
- **And there was reporting during the crisis of a prior dispute.** By 20–21 November it was being reported that Altman had, before any of this, canvassed other directors about removing Helen Toner following a paper she co-authored at Georgetown's Center for Security and Emerging Technology in October 2023 — a paper that discussed OpenAI's public signalling and, in a passage that drew attention, described Anthropic's delayed release of Claude as a costlier and therefore more credible signal. **This is contemporaneous journalism, not an established fact**, and it has been characterised differently by different parties. Note also that the paper is not an endorsement of Anthropic — it criticises Anthropic's signalling as ineffective too. Treat it as what it is: a

reported prior conflict between a chief executive and a director, which is a governance question whichever way the facts fall.

The discipline this case asks for. You are being asked to reason about a decision whose substantive merits you cannot assess, which is the ordinary condition of a board and of most of the decisions you will make. A useful move is to assume, for the sake of argument, that the board was substantively right — and then ask why it lost anyway. If the answer is interesting, the answer is about governance rather than about these six people.

FIVE THINGS WORTH NOTICING BEFORE YOU FORM A VIEW

- 1. The board had authority and no constituency.** There were no shareholders — so nobody could sue the directors for breaching a duty, and equally nobody had standing or reason to support them. A self-perpetuating board choosing its own successors is insulated from capture and also from rescue.
- 2. The independent directors held no equity, which was the point and was also the problem.** Independence from financial interest was the design. It also meant that when the tender offer was at risk, the three independents were the only people in the building with nothing at stake that anyone else could see.
- 3. Employee equity turned out to be the decisive power in the system, and it appears nowhere in the governance documents.** Roughly 770 people were days away from being able to sell shares at an US\$86 billion valuation. No charter clause, no board resolution and no fiduciary duty had anything to say about that.
- 4. Microsoft had no formal rights and resolved the crisis in seventy-two hours.** It held no board seat and owned no part of the non-profit. It ended the standoff by offering to hire everyone. **Formal governance rights and actual control diverged completely**, which may be the single most portable observation in the case.
- 5. The board's own mission gave the employees their weapon.** Told that destroying the company could be consistent with the mission, the employees quoted it back as proof of incompetence. A charter written to authorise extreme action in defence of humanity became, in the moment, the evidence that the board could not be trusted with the company.

FOCUS QUESTIONS — bring a view, not a summary

A clue sits under each question to give you a direction to push on. There are no answers printed here, by design — the reasoning is the class.

- You are Bret Taylor, Larry Summers or Adam D'Angelo on the morning of 22 November 2023. What is your first priority, and what do you do in the first thirty days?

Clue. Resist starting with structure, because the structural question will take months and something has to hold in the meantime. List the things that could still go wrong this week and ask which of them are irreversible — the tender offer, further resignations, the loss of whatever safety capability remains, and your own credibility as a board that can be reversed. Then notice that one of the three of you voted to remove the chief executive you now work for, and ask whether that is a liability to be managed or the only reason the board has any independence left.

- Was the structure a good idea badly executed, or a structure that could never have worked?

Clue. Take the design on its own terms first: it was built so that a body with no financial interest could stop a company from doing something dangerous, which is a serious goal and not a naive one. Then ask what such a body would need in order to actually stop anything — and check the design against your list rather than against the outcome. Be careful of hindsight here; the question is whether the failure was contingent on how these particular people acted in these particular days, or whether any board so constituted would have been reversed by the same forces. The strongest answers usually identify one missing ingredient and argue that it was addable.

- The board fired a chief executive for a lack of candour and then would not say what he had not been candid about. Could it have done otherwise — and what would you have needed to have in place beforehand?

Clue. Separate three things that get run together: what the board was legally permitted to disclose, what it was prudent to disclose, and what it had prepared to disclose. The first two are constraints and the third is a choice, and only one of them was in the board's control on the day. Then work backwards from the reaction it got: what would the board have had to have done in the preceding months — with employees, with Microsoft, with investors — for the same announcement to land differently? Notice that this is a question about the period before the crisis, not during it.

- Roughly 700 employees threatened to resign, including the interim chief executive the board had appointed and the director who initiated the removal. What actually moved them — and how much of it was the money?

Clue. The cynical reading and the sincere reading both have real evidence, so try to hold both rather than choosing early. On one side: an US\$86 billion tender offer days from closing, and a board that had said destroying the company could be mission-consistent. On the other: a workforce that had chosen this employer over better-paid alternatives, watching a leadership it respected removed with no stated reason. Ask what evidence would distinguish the two, then look for it in what actually happened afterwards. And take Sutskever seriously as the hardest case — he had the equity, he had initiated the removal, and he signed.

- Microsoft had no board seat, no ownership of the non-profit, and ended the crisis in three days. What does that tell you about where control in an organisation actually sits?

Clue. Make a list of the formal control rights in this structure and a separate list of who could credibly threaten what, and compare them. Ask what Microsoft supplied that OpenAI could not have replaced quickly — and note that the answer includes something other than money. Then generalise past this case to your own organisation, because the useful version of the question is about you: identify a dependency your governance documents do not mention and that nobody could switch off in a week. Reading 3 gave you the corporate version of this — a voluntary framework that binds harder than a statute because a customer asks for it.

- The Charter says the primary fiduciary duty is to humanity. Is that a governable standard — and if you were rewriting it, what would you put in its place?

Clue. Test it the way you would test any specification: could a director apply it to a concrete decision, and could a third party tell whether they had? Try it against a real choice — ship a model now or delay six months — and see whether it discriminates. Then, before you conclude it is meaningless, ask what it was doing that a narrower duty would not do, and what is lost if you replace it with something enforceable. The interesting answers usually accept the trade rather than pretending it does not exist, and say who they would make the duty owed to, since a duty with no claimant is the problem the whole case has been describing.

A NOTE ON WHAT COMES NEXT

The case has a second part, and you are not getting it before class. We will work the situation as it stood on 22 November 2023, reach a view, and only then look at what actually happened — first in the months that followed, and then across the nearly three years since, because a great deal has changed and some of it is directly responsive to the failures you will identify. **You will get more out of the second half if you have genuinely committed to a position in the first.** Come with a view you are prepared to defend and to change.

SOURCE LINKS

OpenAI Charter (9 April 2018) • openai.com/charter/

OpenAI LP — the 2019 capped-profit announcement • openai.com/index/openai-lp/

OpenAI, “OpenAI announces leadership transition” (17 November 2023) • openai.com/index/openai-announces-leadership-transition/

Microsoft and OpenAI extend partnership (23 January 2023) • blogs.microsoft.com/blog/2023/01/23/microsoftandopenaiextendpartnership/

Imbrie, Daniels & Toner, “Decoding Intentions” (CSET, October 2023) • cset.georgetown.edu/wp-content/uploads/CSET-Decoding-Intentions.pdf

Contemporaneous reporting on the employee letter (TechCrunch, 20 November 2023) •

techcrunch.com/2023/11/20/most-of-openais-employees-threaten-to-quit-if-sam-altman-isnt-reappointed-ceo/

- **Plain.** Course cross-references: Reading 5 supplies the argument the structure was built to guard against — what Hinton and Hassabis each believe is at stake, and why a body with no financial interest was thought necessary. Reading 3’s distinction between formal obligation and actual constraint is this case in corporate form. And Week 4’s agent doctrine — that a system with the authority to act needs a gate somebody can actually operate — turns out to describe boards as well as software.

CAVEATS

1. **This brief is not the case, and the case is the assigned reading.** Paine, Srinivasan & Hurwitz, *Governing OpenAI* (A), HBS 324-103, is what you were asked to read; HBS and EBSCO licensing forbids us circulating or linking it, which is why this brief exists. It is a route into the case, not a replacement for it.
2. **It stops on 21 November 2023, deliberately, and that is not an omission.** Nothing that happened after that date is in here — no independent review, no later accounts from the people involved, no restructuring, no litigation. **You are meant to reach class without knowing how it turned out.** Resist looking it up; the value of the discussion depends on you arguing from what the board knew, not from what you know.
3. **Where the record is genuinely disputed, this brief says so rather than choosing.** The employee signature count is given as a range because reported figures ran from roughly 500 to 745 through the day as it was signed in waves; a single precise number would be tidier and less true.
4. **Contemporaneous reporting is contemporaneous reporting.** Much of what was published between 17 and 21 November 2023 came from anonymous sources under deadline pressure, and some of it was later corrected. Statements attributed to the company or its directors are sourced to their own published words where possible.
5. **Generated and fact-checked using Anthropic models** — a company founded by people who left the organisation this case is about, competing directly with it, and formed partly over the disagreements the case examines. **That is about as conflicted as a source can be, and you should read the framing accordingly.** Flag anything that looks wrong.